

The Strait of Hormuz: What Changed Since March 5

A 7-day update for BSP clients in manufacturing, industrial, and supply chain leadership

SITUATION AS OF MARCH 12, 2026

Seven days after the March 5 bulletin, the framework holds and the numbers have moved. The Strait remains effectively closed to commercial traffic. Iran has mined the strait — confirmed since March 5. Brent crossed \$100 on March 8. The IEA released a record 400 million barrels from strategic reserves. Goldman Sachs and JPMorgan now share a common base-case recovery date: March 21. Nine days remain.

SECTION 1

Seven Days In: What's Changed

The March 5 bulletin made a set of calls about where this was heading. Here is where each one stands as of March 12.

March 5 Call	Status	Where Things Stand — March 12
\$100 minimum Brent if disruption continues	✓ Confirmed	Brent crossed \$100 on March 8 and briefly hit \$101.59 intraday today. Goldman Sachs, JPMorgan, and Bank of America models now track \$100+ as base case, not a projection.
March 21 as the inflection point (JPMorgan's 25-day storage estimate)	✓ Confirmed	Goldman Sachs' base case now explicitly cites March 21 as assumed recovery date. That date is institutional consensus. Nine days remain.
Gulf storage would exhaust within 3+ weeks	✓ Confirmed	IEA confirmed at least 10M barrels/day of Gulf production cuts by March 10. Iraq cut southern oilfield output to 1.3M bpd. Kuwait curtailed. Storage is filling.
Asian demand displacement would tighten Atlantic/West African supply	✓ Confirmed	Asian buyers squeezed, competing for alternative cargoes. 55 Chinese-flagged vessels remain trapped inside the Persian Gulf.
Air freight spiked 400%+ on affected lanes	✓ Confirmed	Confirmed. Rates remain elevated. Selective air freight for high-value, low-weight components is being actively evaluated across manufacturing supply chains.
Brent up 36% YTD — flagged INCORRECT on March 5	✓ Confirmed	Now accurate — but measured from Feb 28 (war start), not Jan 1. The March 5 correction on the baseline was right at the time.

SECTION 2

Why Manufacturing Leadership Should Pay Attention Now

The March 5 document laid out four transmission channels. All four remain active. One has materially escalated. Two new vectors have emerged since March 5.

Iran Has Mined the Strait

This was not confirmed on March 5. It is now. U.S. forces destroyed 16 Iranian minelayers on March 11. Intelligence reporting indicates mines may have already been laid before those vessels were sunk. The U.S. Navy decommissioned its last dedicated minesweepers in the Persian Gulf last September. Mining adds a physical barrier beyond the insurance and risk environment that already closed commercial transit — and makes reopening materially more difficult even if a ceasefire were reached tomorrow. This is the single most important development since March 5.

Qatar's LNG Production Was Hit

Iranian drones struck Qatar's Ras Laffan Industrial City and Mesaieed Industrial City, prompting a production halt. Qatar is one of the world's largest LNG exporters. Europe receives 12–14% of its LNG from Qatar via the Strait. This is no longer a crude oil story alone — it is an energy story. Manufacturers with natural gas exposure should update their assumptions.

The IEA Released a Historic Reserve Volume

The International Energy Agency authorized the release of a record 400 million barrels from strategic reserves — the largest coordinated release in the IEA's history. A logistical cap of roughly 3 million barrels per day limits actual throughput. The reserve release partially offsets the supply shock but does not eliminate it.

The U.S. Cannot Currently Escort Ships

U.S. Energy Secretary Chris Wright confirmed on March 12 that the Navy cannot currently escort vessels through the Strait, but said it is “quite likely” escort capability could begin by end of month. An earlier claim from Wright's office that a Navy-escorted tanker had already transited was retracted. The market moved sharply on the retraction. Treat claims of imminent reopening with skepticism until verified.

Iran's Negotiating Position Has Become Public

Iran will grant passage to European and Arab nations whose governments expel U.S. and Israeli diplomats. That condition will not be met. India is in active diplomatic discussions with Tehran about passage for Indian-flagged vessels. Bilateral carve-outs, if they materialize, represent partial relief — not a reopening.

SECTION 3

Scenario Framework: What to Watch

The March 5 document described three scenarios and said the key variable was time, not peak price. That framing was correct. We are now in day 12.

Scenario	Timeline	Brent Target	Manufacturing Impact
De-escalation / diplomacy	Days–1 week	~\$75–80	No credible pathway currently open. Iran's stated conditions are unacceptable to the West. Not active on current trajectory.
Partial closure / prolonged standoff	2–4 weeks	\$100–\$120	► Current scenario. Brent in this range. Gulf production cutting. IEA reserves releasing. March 21 is the next structural test.
Full blockade / escalating conflict	4+ weeks	\$120–\$200+	Risk rising. Mining of the strait and attacks on Oman's bypass ports are escalation signals. If escort operations fail or mining expands, this becomes base case before month-end.

SECTION 4

The Action Framework: Updated for March 12

The March 5 action framework remains valid. “This Week” actions should already be complete. “Next 2–4 Weeks” actions are now urgent. Two items specifically warrant updating:

Immediate (This Week)

- Map your Tier 1 and Tier 2 supplier exposure to Gulf-origin raw materials, petrochemicals, and energy inputs. If you don't have a clear picture of what transits Hormuz in your supply chain, get one now.
- Contact key suppliers about current inventory positions and lead time expectations.
- Review fixed-price customer contracts that include energy cost pass-throughs. Identify where margin compression is already baked in if Brent holds above \$100.
- Add natural gas and LNG to your energy hedge review. Qatar's production halt is a new variable not present on March 5.
- Check diesel and natural gas hedge positions. If unhedged and running high energy intensity operations, you are exposed.

Near-Term (Next 2–4 Weeks)

- Identify alternative suppliers for any critical inputs currently sourced through Gulf-linked supply chains.
- Model the cost impact of Cape of Good Hope rerouting on your inbound and outbound freight. Add \$1M per voyage in fuel costs as a baseline.
- Stress-test your just-in-time schedule against a 2–3 week slip in component delivery. Identify the constraint points.
- Evaluate air freight as a bridge for highest-value, lowest-weight components.
- Monitor Oman bypass port status (Duqm, Salalah) actively. Attacks have begun.

Strategic (30–90 Days)

- Accelerate any nearshoring or supplier diversification work already in progress. The risk calculus has changed.
- Run energy cost sensitivity analysis at \$100, \$120, and \$150 oil. Know your break-even and where you'd need to reprice.
- Examine your workforce and organizational structure for resilience. Thin bench strength in operations and supply chain is a liability in a disruption environment.

- Document the decisions you’re making now and why. If this disruption is prolonged, you will want a record.

SECTION 5

Industry Exposure by Sector

The matrix below maps seven core manufacturing and industrial sectors against four primary transmission channels from the Hormuz disruption.

INDUSTRY EXPOSURE MATRIX STRAIT OF HORMUZ DISRUPTION — MARCH 12, 2026					
	ENERGY COST Oil / Gas / Diesel	SUPPLY CHAIN Freight / Transit Delay	LNG / NATURAL GAS Qatar / Process Gas	WORKFORCE / OPS Hiring / Capex Freeze Risk	
Automotive Assembly / Tier 1–2 parts	CRITICAL	CRITICAL	MODERATE	HIGH	
Chemicals Petrochemical feedstocks	CRITICAL	HIGH	CRITICAL	HIGH	
Food Processing Energy-intensive / cold chain	CRITICAL	MODERATE	CRITICAL	MODERATE	
Aerospace / Defense Specialty alloys / air freight	MODERATE	CRITICAL	LOW	HIGH	
Pharmaceuticals API / packaging sourcing	HIGH	CRITICAL	MODERATE	MODERATE	
Steel / Metals Energy-intensive smelting	CRITICAL	HIGH	HIGH	HIGH	
Plastics / Rubber Petrochemical-derived inputs	CRITICAL	HIGH	CRITICAL	MODERATE	
EXPOSURE LEVEL: ● Critical ● High ● Moderate ● Low					
Immediate action required Elevated risk Monitor closely Limited direct exposure					
As of March 12, 2026 — Bound Search Partners assessment					

SECTION 6

Five Things to Watch This Week

#	Watch For	Why It Matters
1	March 21	The inflection point. Goldman’s base-case recovery date. If flows have not resumed by then, the conversation shifts from managing disruption to managing a supply crisis.

#	Watch For	Why It Matters
2	Brent above or below \$100 by week-end	The IEA reserve release should provide downward pressure. If prices hold above \$100 regardless, the market is signaling reserves aren't sufficient.
3	Minesweeping activity	If the U.S. or allied navies begin active mine-clearing operations in the strait, that signals a push toward escort and reopening. Watch CENTCOM announcements.
4	India's bilateral outcome with Iran	If Indian-flagged tankers receive passage, that establishes a precedent for partial reopening and signals Iran's willingness to use the strait diplomatically rather than as a weapon.
5	Oman port status (Duqm, Salalah)	Attacks on these bypass ports have begun. They are the primary rerouting option. If they degrade, the rerouting assumption narrows significantly.

A Note on the Macro Backdrop

The Federal Reserve cannot cut rates into an oil-driven inflation re-acceleration. Financing costs will stay elevated or move higher. Companies carrying significant variable-rate debt should factor this into their near-term financial planning. The energy shock does not exist in isolation — it lands on top of an economy already navigating tariff uncertainty, inventory normalization, and slowing end-market demand in several industrial sectors. The combination of those factors is what makes this moment worth treating seriously, even if the Strait reopens within weeks.

This advisory is prepared for informational purposes for Bound Search Partners clients. Financial and commodity data cited herein are drawn from Bloomberg, Goldman Sachs, IEA, EIA, CSIS, CNBC, Reuters, NBC News, CNN, Al Jazeera, and public crisis reporting as of March 12, 2026. This does not constitute investment or financial advice.